

CITATION: Bassuday v. Solomon, 2018 ONSC 72
COURT FILE NO.: CV-11-00441714-0000
DATE: 20180103

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: INDIRA BASSUDAY

Plaintiff

AND:

RANDEE ROCHELLE SOLOMON, NANA KONADU AGYAPONG AND
SELECTED FINE CARS INC.

Defendants

BEFORE: FAVREAU J.

COUNSEL: *D. Oliveira*
for the plaintiff and
Selected Fine Cars Inc.

*Randee Rochelle Solomon and
Nana Konadu Agyapong*
No one appearing for the defendants
Randee Rochelle Solomon and Nana
Konadu Agyapong

HEARD: December 14, 2017

ENDORSEMENT

[1] The defendant, Selected Fine Cars Inc. ("Fine Cars"), seeks default judgment against the defendants, Randee Rochelle Solomon ("Ms. Solomon") and Nana Konadu Agyapong ("Ms. Agyapong"). For the reasons set out below, default judgment is granted against Ms. Solomon and Ms. Agyapong in the amount of \$150,000 plus pre-judgment interest and costs, subject to the issue raised below in relation to the costs of the action.

[2] The claim arises from an accident that occurred on December 23, 2009 at a pedestrian crosswalk in Toronto. At the time of the accident, Ms. Solomon was driving a vehicle that struck the plaintiff, Indera Bassuday ("Ms. Bassuday"). Ms. Agyapong leased the vehicle from Fine Cars, and both parties were registered owners of the vehicle. As a result of the accident, Ms. Bassuday has suffered ongoing soft tissue injuries to her lower back and right knee as well as ongoing depression.

[3] Ms. Bassuday commenced this action against all three defendants on December 12, 2011. Ms. Solomon and Ms. Agyapong were served with the statement of claim, but they did not defend the action and they were noted in default on July 4, 2013.

[4] Fine Cars did defend the action, and served its statement of defence on November 9, 2012. The plaintiff and Fine Cars reached a settlement on April 11, 2017. Under the settlement, Fine Cars made an all-inclusive payment of \$150,000 to the plaintiff, in exchange for a release and an assignment of the plaintiff's claims against Ms. Solomon and Ms. Agyapong to Fine Cars.

[5] Fine Cars seeks default judgment in the amount of \$150,000 against Ms. Solomon and Ms. Agyapong on the basis of the assignment.

[6] While Rule 19.02(3) of the Rules of Civil Procedure does not require that defendants noted in default be given notice of a motion for default judgment, the case law makes clear that it is a best practice to give notice: *Elekta Ltd. v. Rodkin*, 2012 ONSC 2062 (Sup. Ct.), at para.10. In this case, both Ms. Solomon and Ms. Agyapong were personally served with the notice of motion on November 15, 2017.

[7] I am satisfied that default judgment should be granted in this case.

[8] When a defendant is noted in default under Rule 19.01 of the Rules of Civil Procedure, Rule 19.02(1) provides that the party "is deemed to admit the truth of all allegations of fact made in the statement of claim". Under Rule 19.05(1), where the claim is for unliquidated damages and the motion for default judgment is brought before a judge, the motion is to be supported by an affidavit. Rule 19.06 requires the judge to inquire into whether the deemed factual admissions resulting from the default support a judgment on liability as well as damages. As held by Himel J. in *Fuda v. Conn*, [2009] OJ 188 (Sup. Ct.) at para 16:

[A]lthough the Rules provide the consequences for noting in default, the court has the jurisdiction and the duty to be satisfied on the civil standard of proof that the plaintiff is able to prove the claim and damages. If the court finds the evidence to be lacking in credibility or lacking "an air of reality", the court can refuse to grant judgment or grant partial judgment regardless of fault.

[9] In this case, Fine Cars relies on the statement of claim and the affidavit of Kathryn S. Watson, who acted as counsel for Fine Cars in the action involving the plaintiff. In her affidavit, Ms. Watson addresses the accident, Ms. Bassudai's injuries and the settlement. In addition, at my direction, one day following the hearing of the motion, Fine Cars filed a supplementary affidavit also sworn by Ms. Watson addressing the relationship between Fine Cars and the defaulting defendants.

[10] The statement of claim and Ms. Watson's affidavits assert that Ms. Solomon was driving a vehicle leased by Ms. Agyapong from Fine Cars when she struck the plaintiff at the a crosswalk. The Motor Vehicle Accident Report attached to Ms. Watson's first affidavit confirms that Ms. Solomon "failed to yield the right of way". Accordingly, it is evident that Ms. Solomon was at fault and caused the accident, while she was operating a vehicle for which Ms. Agyapong was responsible as the lessor and registered owner.

[11] Ms. Watson's affidavit provides significant evidence to support Ms. Bassudai's claim for damages. At the time of the accident, Ms. Bassudai was 57 years old. She was on leave from her

work in the kitchen of a senior's home due to knee pain, but she was improving and getting ready to return to work. The evidence on the motion includes a number of medical and other reports. These include orthopedic assessments indicating that Ms. Bassudai's accident worsened the condition in her knee and injured her lower back, and that these injuries have resulted in chronic pain and affect her ability to find work and participate in certain activities of daily living. There is also a psychological assessment that provides evidence of ongoing depression due to the accident. Finally, there is a future care report that sets out various types of care Ms. Bassudai will require in the future due to her injuries.

[12] In her affidavit, Ms. Watson indicates that the settlement of \$150,000 was reached based on the following breakdown:

\$50,000.00 for general damages (\$87,385.00 minus \$37,385.00 deductible);
\$16,000.00 interest at 32%;
\$40,000.00 for special damages;
\$19,000.00 for costs (including HST); and
\$25,000.00 for disbursements.

[13] I am satisfied that default judgment should be granted based on the factual allegations in the statement of claim and the evidence in Ms. Watson's affidavit. Judgment is accordingly granted in the amount of \$150,000.00, plus pre-judgment interest. Pre-judgment interest is to run from the date of the settlement which was reached on April 11, 2017.

[14] In terms of costs, Fine Cars seeks its costs of the action and of the motion for default judgment.

[15] I am satisfied that Fine Cars is entitled to its costs of the motion on a partial indemnity basis, which are fixed at \$1,355.37 as requested in the costs outline.

[16] With respect to costs of the action, it is not clear to me on what basis Fine Cars seeks its own costs of the action. Fine Cars' motion for default judgment is based on the assignment Fine Cars obtained from the plaintiff of her claim against the defaulting defendants. Fine Cars has not asserted a cross-claim in the action against Ms. Solomon or Ms. Agyapong. Accordingly, my preliminary view is that default judgment is to be granted as though the plaintiff were seeking default judgment against the defaulting defendants, and that there is no basis on which the plaintiff would be entitled to recover Fine Cars' costs of defending the action. However, this is not an issue that was addressed in Fine Cars' materials or in oral argument, and I am therefore prepared to give Fine Cars an opportunity to make brief written submissions setting out the legal basis on which it asserts that it is entitled to its costs of defending the action. Submissions on this issue are to be no longer than three pages and are to be directed to my attention by no later than January 12, 2018. The submissions should also address the apparent discrepancy between the \$30,010.38 partial indemnity costs sought on the first page of the Bill of Costs and the \$23,108.48 "Total of partial indemnity rate fees and disbursements (including HST)" referred to on the last page.

Date: January 3, 2018

FAVREAU J.